GMS WEEKLY

Your Source for Recycling News

May 10th, 2024
Week 19
Volume 261, Issue 1133

QUOTE of the WEEK

"You never know what worse luck your bad luck has saved you from."

Cormac McCarthy

Highlights:

- **Taka crash.**
- **L/C expensive.**
- **India up.**
- **Turkey strong.**
- **Perfect dearth.**
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- MARKET COMMENTARY -

TAKA TÖT*?

Towards the end of the working week, the Bangladeshi Taka took the centerfold as it crashed by about 6.4% against the U.S. Dollar in a couple of days. This jump was certainly expected, in that, a measured BDT 7 devaluing of the Taka against the U.S. Dollar was previously agreed to in the 'terms and conditions' of the IMF loan that was sanctioned to the country back in January, which then saw the easing of L/C & financing restrictions for Chattogram Recyclers. This depreciation in the Taka will translate into higher L/C costs that should escalate by about 6% - 7% (at least) and will further crunch down on already suffocated margins that have resulted from flatlining steel plate prices, ensuring that upcoming vessel acquisitions will be more expensive for local Recyclers, who **will** lose out to a firming India, especially if Bangladeshi plate prices fail to move North soon.

Notwithstanding the expectantly shaky end to Bangladesh's working week, a couple of pre-and-post Taka-drop sales did register into this market and given their fixing levels, the impact from this fall so far seems to be minimal. On the other side, as Indian elections continue into their third week and in the face of growing anticipation of PM Modi's seemingly inevitable victory, not only have Indian steel prices been on a mission of late, but Alang Recyclers also seem to be growing increasingly confident that Mr. Modi's victory will bring with it, the highly-awaited portfolio of infrastructure projects that stand to skyrocket India's Economy, which is the 5th largest in the world today. Pakistani Recyclers meanwhile continue to kick-back & relax as their increasingly evident absence at the bidding tables has finally resulted in Gadani's anchorage going 'dark' this week. Moreover, as India continues to improve on the back of their fundamentals, how long will it be before Gadani goes 'dark' for the rest of the summer? Having said that, a tiny faction of Gadani Recyclers has come forward with minor price improvements that remain woefully insufficient to snag any (market) units. Finally, the hungry collection of Aliaga Recyclers out West responsible for driving Turkish recycling prices to the moon last week, continue to negotiate for their share of the firmer tonnage that has come recently available, reportedly without any recourse.

As the overall flavor in the supply of vessels remains containers, this week saw several of the larger liner companies gearing up to sell their containers, amidst freight rates in the feeder sector that remain comparatively more depressed (than other sectors) and noticeably firmer recycling offers on the table. Whilst Dry Bulk / Cape freight rates (particularly on the larger LDT spectrum) push on, this has seen a near perfect dearth of juicy large LDT dry units for a recycling sale so far this year, while Sinokor commits a 4th container for a recycling sale at eye-watering levels this week.

For week 19 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	*Shaky*	520 / LDT	540 / LDT	560 / LDT
2	India	**Firming**	510 / LDT	530 / LDT	550 / LDT
3	Pakistan	_Steady_	500 / LDT	520 / LDT	530 / LDT
4	Turkey**	Hot	360 / LDT	370 / LDT	380 / LDT

** Töt = Dead in German ** +10K LDT Units*

BANGLADESH

TALKING TAKA!

IMF conditions.

The true extent of the impact from this week's crash in the Bangladeshi Taka (on the domestic Ship Recycling community) remains to be seen, especially as it received a BDT 7 jolt against the U.S. Dollar (a drop of about 7%) in the span of a couple of days towards the end of the week. While most of us in the industry were aware of this intentional depreciation in the value of the Taka as a part of the agreed to 'terms & conditions' of the IMF loan package (likely as a payback mechanism on the loan) that the country received back in January this year, and one that subsequently resulted in all but wiping-out L/C restrictions imposed on Chattogram Chop Shops since early 2023, it was the out-of-sight-out-of-mind quick arrival of this drop that left most in the industry in a state of shock this week, especially as this market continues to dominate the rankings since the start of the year and tonnage availability has **finally** started to ease once again.

Buried horizontal

This BDT 7 decline saw the Taka end the week at BDT 116.98 against the U.S. Dollar, all while local steel plate prices remain buried horizontal. Consequently, this weakening further stands to choke out the already suffocated margins that local Recyclers have been religiously scraping at, in order to continue to offer the firmest levels in the industry amidst the ongoing tonnage drought. As such, unless local steel plate prices fail to climb in the coming week(s), it remains to be seen just how much longer this market holds on to the top spot, especially as firming Indian steel plate prices that have been India's Achilles Heel to her (ingratiated) performance since the start of the year, have finally started to climb over recent weeks.

Unexpectedly expected.

Notwithstanding this week's unexpectedly expected jolt, one chip carrier was concluded to Bangladeshi Buyers early in the week (prior to the Taka Tot) and at expectedly firm levels as the PINE EXPRESS (9,543 LDT) from Singapore based owners Nova saw an impressively firm USD 560/LT LDT on the unit, as Sinokor seemingly chased the shaky market (post Taka Tot), grabbing another eye-watering USD 581/LT LDT for their tiny container HEUNG A TOKYO (2,446 LDT), their 4th recycling sale in the space of a month. Given the sub-3K weight of the unit and faster recycling times, the respective Recycler likely snagged the unit hoping to stay in the green.

As the nation's waterfront slows down with just 1 fresh arrival this week, Bangladeshi performance in the coming weeks remains to be seen, especially as Indian Elections and Indian Fundamentals both seem headed for positive times.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
HEUNG A TOKYO	Container	2,446	USD 581/LT LDT
PINE EXPRESS	Chip carrier	9,543	USD 560/LT LDT

INDIA

CONJOINTLY CREEPING.

With the fall of the Bangladeshi Taka this week, a 3rd week into the India's General Election cycle, and Indian steel plate prices that jumped by about USD 12/Ton, it seems as though it is only a matter of time before we see Alang Buyers back at the negotiating helm once again, with an aggression to acquire that is likely to leapfrog even the Bangladeshi market in the coming weeks, especially as the industry witnesses demand & pricing conjointly creeping up in India once again. This firming has also helped vessel prices from India get another boost this week, with levels increasingly likely to climb in the weeks ahead.

Achilles Heel.

Although domestic steel plate prices have been the Achilles Heel to Alang's recycling performance since the start of the year, it has been the level at which plate prices have been marooned at, which has seen Alang Recyclers painfully and regularly losing out tonnage to neighbouring Chattogram & Gadani Buyers and even face weeks of empty port reports. It has therefore been nothing short of impressive to see plate levels rebound so consistently since April 24th, and that too to the tune of over USD 30/Ton. This firming has also been nothing short of a Godsend to the local purchasing mindset, one which has seen a spate of ongoing fixtures come to fruition at Alang's anchorage over recent weeks. Yet, despite the Indian Rupee starting to weaken to an abysmal Rs. 83.52 against the U.S. Dollar once again, local sentiments seem to remain afire with PM Modi's likely victory, in addition to the subsequent commencement of large-scale infrastructure projects / undertakings across the country.

USD 30/Ton since 4/24/24.

Meanwhile, even though the only (market) sales of the week were into Bangladesh, India remains aggressive on several private / off market units as not only do Alang Buyers continue to take deliveries of units at a gradually increasing pace, with Pakistan steadily on the outs and the Bangladeshi market likely hitting a price ceiling sooner rather than later, India seems destined to become the ideal destination for not only geographically positioned tonnage / specialist (offshore / stainless steel) HKC / vessels, but a healthy majority of the units intended for a sub-continent delivery.

Tea leaves.

Given that week 3 of the election-fever is underway and the results are due to be announced on or shortly after June 2nd, the tea leaves seem to be spelling out a busier summer / monsoon season for WC India this year.

NO MARKET SALES REPORTED

PAKISTAN

STAGGERING OFF PACE!

Empty Anchorage.

On the back of woefully weak & increasingly unworkable numbers from subdued Gadani Recyclers, Pakistan has endured a rough couple of few weeks with minimal sales & activity that finally saw an empty Gadani anchorage this week *(See Port Position Page 6)*. As such, Gadani Recyclers are gradually staggering off pace and Pakistan is increasingly turning into a recycling destination that will likely not see 2nd or even 1st place in the market rankings any time soon, suspect at least until late Q3 / early Q4 this year.

Marginally firmer.

Far from the higher placed Bangladeshi market, Pakistan has increasingly fallen off pace from even from India this week, compelling those Gadani Recyclers who remain serious to acquire tonnage, to have to sharpen their pencils once again and unfortunately return with only marginally firmer offerings, making Pakistan the only ship recycling destination to face unexpected struggles in the face of increasing tonnage supply - especially as the competition is also gunning for their share of vessels via increasingly firmer offerings of their own.

Radius of chances.

Domestic fundamentals have certainly done little to assist Gadani Recyclers appropriately position their offerings over recent weeks in that, the previously held mantel for being the recycling location of choice West of Sri Lanka, has now unequivocally passed to Alang for over a couple of weeks now. Moreover, as the Pakistani Rupee remains in a weakened state - ending at levels just north of PKR 278 against the U.S. Dollar this week - local steel plate prices still need be resuscitated back from the dead as they remain flatlined for what seems like an eternity now.

With India now encroaching on the radius of Pakistan's probabilities at securing geographically viable units that are opening in the area, and even with their 'improved' offers falling far short of necessary, the way this act is playing out certainly delivers the impression that the final act in Gadani maybe wrapping up for the season.

NO MARKET SALES REPORTED

TURKEY

SILENT FIRE!

Market fixtures.

With no market fixtures to report, and a clique of Aliaga Recyclers clearly ablaze for a few weeks now, the Turkish market has remained silently on fire for tonnage, regrettably without any recourse in the face of a supply that has yet to grace the shores of Aliaga.

Import & local steel plate prices have reported no major changes for the 2nd running week, in addition to the Turkish Lira that continues making it increasingly challenging to gauge just how safe current Turkish offer really are i.e., will Ship Owners get paid as per the price of the MoA?

Twisted Times.

The genesis of the question certainly begs answering at this juncture given that Turkey's inflation has been nothing short of a raging wildfire over recent years, in addition to the near total assistance of support from domestic fundamentals – especially the Turkish Lira, that essentially remains burnt ash at current levels and remains in excess of TRY 32.

As such, this inexplicable firming in vessel prices is certainly leaving Ship Owners and Cash Buyers more curious than comfortable to conclude into this market at current levels and for longer laycans.

Twisted times for Turkey indeed.

NO MARKET SALES REPORTED

SCIENCE & SPACE FACTS / MYSTERIES

- *For many years, scientists believed that Earth was the only tectonically active planet in the solar system. That changed after the Mercury Surface, Space Environment, Geochemistry and Ranging (MESSENGER) spacecraft did the first orbital mission at Mercury, mapping the entire planet in high definition and getting a look at the features on its surface.*
- *In 2016, data from MESSENGER revealed cliff-like landforms known as fault scarps. Because the fault scarps are relatively small, scientists are sure that they weren't created that long ago, and that the planet is still contracting 4.5 billion years after the solar system was formed.*
- *Pluto is a tiny world at the edge of the solar system, so scientists assumed the dwarf planet would have a fairly uniform, crater-pocked environment. That changed when NASA's New Horizons spacecraft flew by in 2015, sending back pictures that altered our view of Pluto forever.*
- *Among the astounding discoveries were icy mountains that are 11,000 feet (3,300 meters) high, indicating that Pluto must have been geologically active as little as 100 million years ago. But geological activity requires energy, and the source of that energy inside Pluto is a mystery. The sun is too far away from Pluto to generate enough heat for geological activity, and there are no large planets nearby that could have caused such disruption with gravity.*
- *Pluto's observed atmosphere also broke all of our scientific predictions. Scientists saw the unexpected haze extending as high as 1,000 miles (1,600 km), rising higher above the surface than the atmosphere on Earth. As data from NASA's New Horizons mission flowed in, scientists analyzed the haze and discovered some surprises there, too.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
May 23 – Buddha Purnima June 01 – Public Holiday June 16 – June 18 - Bakri-Eid / Eid-Ul-Azha	May 05 – May 13 May 21 – May 29 June 03 – June 11 June 19 – June 28

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
May 23 – Buddha Purnima June 16 – June 18 - Eid-Ul-Azha	May 23 – May 25 June 05 – June 08 June 22 – June 25

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 01 – Dragon Boat Festival	June 17 – June 19 – Eid-Ul-Azha	June 15 – June 19 – Kurban Bayrami

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ALANG - Port Position as of May 10, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Amanah*	*8,997*	*Roro*	*Delivered May 06*
2	Fesco Trader	5,113	Container	Arrived May 09
3	*Kel*	*3,535*	*Chemical Tanker*	*Delivered May 04*
4	*Tahara (Dead Vessel)*	*9,445*	*MODU*	*Cold Stacked May 08*
Total Tonnage		**27,090**		

CHATTOGRAM - Port Position as of May 10, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Hong Xi*	*3,621*	*General Cargo*	*Delivered May 08*
2	*Inter Stevedoring 8*	*11,104*	*Bulk Carrier*	*Delivered May 09*
3	*Jal Gamini*	*22,572*	*Tanker*	*Delivered May 08*
4	*Pita Erma*	*3,613*	*General Cargo*	*Delivered May 08*
5	*S Maru 5*	*1,700*	*Research Vessel*	*Delivered May 07*
6	*Sia 32*	*2,801*	*Container*	*Delivered May 07*
7	Sinokor Qingdao	4,735	Container	Arrived April 23
Total Tonnage		**50,146**		

GADANI - Port Position as of May 10, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
		No Vessels Reported		
Total Tonnage		**-**		

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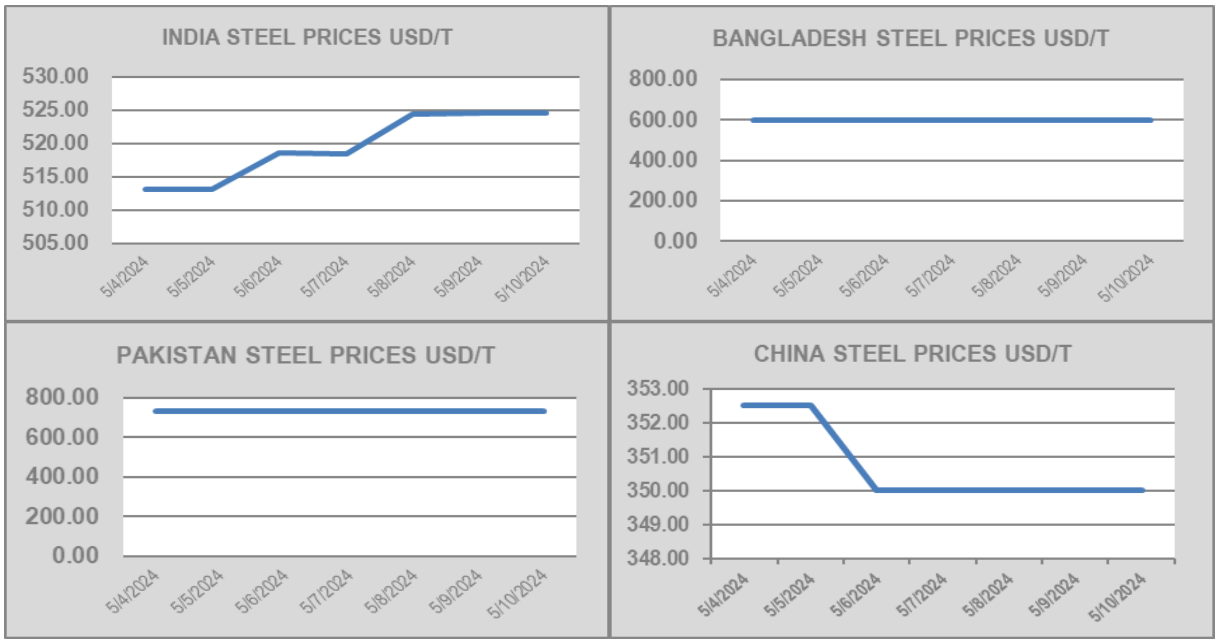
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/4/2024	513.07	42,800.00	735.29	205,000.00	600.00	72,000.00	352.52
5/5/2024	513.07	42,800.00	735.29	205,000.00	600.00	72,000.00	352.52
5/6/2024	518.62	43,300.00	735.29	205,000.00	600.00	72,000.00	350.03
5/7/2024	518.50	43,300.00	735.29	205,000.00	600.00	72,000.00	350.03
5/8/2024	524.43	43,800.00	735.29	205,000.00	600.00	72,000.00	350.03
5/9/2024	524.55	43,800.00	735.29	205,000.00	600.00	72,000.00	350.03
5/10/2024	524.61	43,800.00	735.29	205,000.00	600.00	72,000.00	350.03



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